

security or group of investments. It may indicate that a security is highly favored by investors. Also refers to a fee for obtaining insurance coverage.

Price/Book (P/B) Ratio The price per share of a stock divided by the stock's book value (i.e., its net worth) per share. For a portfolio, the ratio is the weighted average price-to-book ratio of the stocks it holds.

Price/Earnings (P/E) Ratio The share price of a stock divided by its per-share earnings over the past year. For a portfolio, the weighted-average P/E ratio of the stocks in the portfolio. The P/E ratio is a good indicator of market expectations about a company's prospects; the higher the P/E ratio, the greater the expectations for a company's future growth in earnings.

Prospectus A legal document that gives prospective investors information about a mutual fund, including discussions of its investment objectives and policies, risks, costs, and past performance. A prospectus must be provided to a potential investor before he or she can establish an account and must also be filed with the Securities and Exchange Commission.

Proxy Written authorization by a shareholder giving someone else (such as fund or company management) authority to vote his or her shares at a shareholders' meeting.

Quantitative Analysis In securities, an assessment of specific measurable factors, such as cost of capital; value of assets; and projections of sales, costs, earnings, and profits. Combined with more subjective or qualitative considerations (such as management effectiveness), quantitative analysis can enhance investment decisions and portfolios.

Real Estate Investment Trust (REIT) A company that manages a group of real estate investments and distributes at least 90 percent of its net earnings annually to its stockholders. REITs often specialize in a particular kind of property. They can, for example, invest in real estate, such as office buildings, shopping centers, or hotels; purchase real estate (an equity REIT); or provide loans to building developers (a mortgage REIT).

Real Return The actual return received on an investment after factoring in inflation. For example, if the nominal investment return for a particular